

Look at the image below.

Here, the 19,300 put option and the 19,500 call options have the highest open interest. Meaning, these strike prices will act as the dynamic support and resistance levels. We will only monitor these two strike prices now.

Source: www.nseindia.com/option-chain

CALLS										PUTS										
OI	CHNG IN OI	VOLUME	IV	LTP	CHNG	BID QTY	BID	ASK	ASK QTY	STRIKE	BID QTY	BID	ASK	ASK QTY	CHNG	LTP	IV	VOLUME	CHNG IN OI	OI
14,681	-59	502	27.15	660.55	33.75	100	659.15	659.75	50	18,720.00	32,450	6.45	6.50	2,950	-0.90	6.50	26.79	229,250	1,870	1,05,266
3,686	16	280	23.77	610.50	30.50	600	608.50	610.60	100	18,750.00	3,600	6.85	6.90	9,600	1.05	6.85	25.56	1,21,976	8,087	47,789
12,224	-903	1,390	28.11	562.40	31.65	100	560.20	561.45	100	18,890.00	25,400	7.45	7.50	4,250	-1.40	7.50	24.95	3,03,122	15,948	1,17,237
6,509	-231	803	23.50	512.50	31.50	750	510.45	511.70	50	18,950.00	17,950	8.10	8.15	18,000	-1.70	8.15	22.70	1,74,928	-975	46,136
29,600	1,852	4,317	20.35	462.40	28.20	50	461.55	461.90	200	18,950.00	4,300	8.40	8.45	13,000	-2.90	8.45	21.32	3,67,809	10,677	1,56,478
6,140	-425	1,299	19.42	413.00	26.40	700	412.45	413.00	400	18,930.00	8,950	9.55	9.60	7,050	-2.90	9.60	19.83	2,02,339	1,452	59,970
33,612	2,262	26,140	17.85	364.00	25.55	700	364.15	365.00	600	19,000.00	6,500	10.75	10.80	10,800	-5.05	10.80	18.40	4,91,958	8,502	1,05,707
8,133	-572	4,482	16.12	314.80	20.50	50	314.40	314.95	100	19,050.00	50	12.35	12.40	12,150	-4.70	12.40	17.05	2,87,945	1,646	63,123
20,499	-2,034	40,593	15.28	266.55	24.20	950	266.25	266.50	3,110	19,100.00	3,900	14.60	14.65	3,950	-6.20	14.65	15.81	3,97,009	4,041	1,30,423
14,571	271	44,237	14.17	219.55	22.95	1,200	219.00	220.45	200	19,150.00	4,600	17.85	17.90	5,050	8.50	17.85	14.58	4,76,900	3,746	7,6155
56,522	-700	2,81,399	13.32	173.65	18.85	1,250	173.65	173.90	50	19,200.00	9,900	23.25	23.35	7,800	-11.30	23.30	13.94	9,49,850	1,638	1,89,813
35,970	-354	2,92,994	12.49	134.55	16.65	200	134.80	134.95	350	19,250.00	6,400	31.05	31.15	3,050	-15.80	31.10	12.66	7,57,811	33,104	93,119
1,95,922	3,350	15,23,697	11.75	97.60	11.90	1,450	97.60	97.85	550	19,300.00	1,400	45.25	45.35	4,500	-10.55	45.40	12.14	10,62,722	97,739	2,48,609
1,34,248	59,408	1,00,504	11.49	87.45	7.65	1,100	87.45	87.65	2,300	19,350.00	4,450	64.65	64.80	2,350	-22.80	64.70	11.69	12,16,497	55,759	84,549
2,30,215	82,634	21,22,695	11.21	43.79	3.95	150	43.85	43.70	200	19,400.00	50	90.90	91.10	300	-26.60	90.95	11.60	14,64,453	52,572	92,468
1,09,021	28,328	10,39,695	11.18	26.83	1.85	2,500	26.85	26.90	3,950	19,450.00	750	122.75	122.90	50	-30.90	122.75	11.47	2,99,187	12,613	15,906
2,38,113	35,048	14,46,083	11.27	15.90	0.40	8,300	15.85	15.95	8,350	19,500.00	50	169.10	169.20	50	-37.25	169.10	11.58	8,45,511	13,549	78,144
90,291	18,099	6,32,408	11.40	5.05	7.150	9.05	9.10	150	19,550.00	1,450	206.20	206.70	500	-71.55	206.60	11.80	45,308	1,977	2,929	
1,29,997	16,717	6,86,028	12.23	4.55	0.10	24,700	6.05	6.10	20,250	19,600.00	50	233.40	233.75	500	-30.50	233.85	12.34	44,010	2,535	4,999
44,081	13,396	3,27,335	12.78	4.35	0.10	6,750	4.35	4.40	27,600	19,650.00	200	301.70	301.90	50	-37.25	301.70	14.01	5,068	148	745
90,293	7,700	3,86,242	12.88	3.25	0.25	44,900	3.25	3.30	50,000	19,700.00	1,250	398.35	399.40	1,250	-20.45	398.10	15.23	7,040	1,199	1,624
88,430	15,365	15,343	14.77	2.75	0.35	39,600	2.70	2.75	15,750	19,750.00	50	398.35	399.40	50	-36.35	398.20	12.63	654	78	133
78,124	13,014	2,53,179	15.86	2.35	0.50	42,200	2.35	2.40	85,300	19,800.00	50	448.70	449.30	100	-33.25	448.60	17.88	1,410	167	1,966
17,261	-7,422	15,846	17.21	2.10	0.90	21,200	2.05	2.10	39,100	19,850.00	700	493.55	493.90	500	-39.20	493.65	18.41	99	10	49
51,852	18,140	1,44,294	18.23	1.95	0.50	86,400	1.90	1.95	63,550	19,900.00	650	548.40	550.25	100	-28.50	548.00	21.16	147	44	128

The premium prices of both of the option contracts at 9:20 a.m. are Rs. 45 for the 19300 put option and Rs. 15 for the 19500 call option respectively.

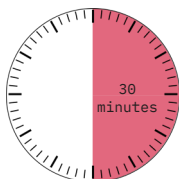
In this strategy, we will look for a breakout. Meaning, we will look for a 10% increase in any of the above premiums. So, if the 19,300 put option rises to Rs.50 or the 19,500 call option rises to Rs.16.50, we will buy that option contract. The reason behind this is that an upside momentum in this option signals a potential rush amongst the short sellers to cover their positions.

SL - 20% of entry premium

Our stoploss will be at the 20% of the entry premium. For example, for a 19,300 put option of Rs.50, the stoploss will be Rs.10.

We will cover positions in profit when the trade has given us a risk to reward ratio of 1:2. Meaning, if we are risking Rs. 10, the aim will be to earn Rs.20.

Risk Rewards Ratio - 1:2



Another thing to remember is that the holding period will be for 30 minutes only. As the markets are volatile early morning, we will execute and cover our trades within 30 minutes. So, there are 3 defined exits in this strategy – Stoploss, target or time-based exit in 30 minutes.